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MOVING AVERAGE AND FIBONACCI



Strategy video

It was June 2014, when the market started moving upward. I noticed pattern. The market was taking pullbacks every time after making a new high. The pattern was not random. After observation, I found that the price was touching the Fibonacci levels and then continued to move upwards.

The stock market is not random. Everything holds some fundamentals.

Be it the price moving in a trend or having short-term pullbacks to a level, I observed this pattern on a daily timeframe which has more significant data and is less noisy. As an intraday trader, I was curious to test this out on a small 5-minute timeframe because it is noisier and most intraday traders prefer to use this timeframe.

Post the market hours, sipping my coffee, I backtested the combination of the 200-day Moving Average and Fibonacci Retracement on a 5-minute timeframe. Without an iota of doubt, it gave me the expected result. I.e price respecting technical indicators. Generally, if you observe, price does not respect technical indicators much on the smaller timeframe, but, it did.